

Task 1 - Selection and Research

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Regulated entity

The selected entity is Citi / Citigroup Inc., a named global bank headquartered in the United States. Citi is a US-headquartered global bank with operations across North America, Europe, the Middle East, Africa and Asia. Citi's public materials list European locations such as Warsaw, Budapest, Dublin and London, and Citi's 2025 Annual Report states its mission as responsibly providing financial services that enable growth and economic progress. That makes AI credit governance a credible strategic topic rather than a purely academic example.

Regulatory domain

The domain is AI credit scoring, fair lending, algorithmic fairness and AI governance. The tool is designed for a cross-border bank using machine-learning credit models to support consumer or small-business credit decisions. The compliance question is not whether the model is accurate in a generic sense; it is whether the model can be governed differently when US fair-lending explainability expectations and EU high-risk AI governance expectations apply.

Evidence boundary

The public sources support Citi as a cross-border bank with US headquarters and European operations. They do not prove that Citi currently uses the exact AI credit model simulated here in the EU. This is an honest design boundary: the assignment uses Citi as a realistic regulated case and builds a plausible RegTech prototype, not a factual allegation about Citi's live systems.

Task 1 - Jurisdictional Rationale

Jurisdictional divergence

In the US, the practical focus is on fair lending governance, specific adverse-action reasons and the changing legal treatment of disparate impact under ECOA / Regulation B. The CFPB has warned that use of AI or complex models does not remove the creditor's obligation to explain adverse action specifically and accurately. The 2026 Regulation B final rule shows a policy turn: disparate-impact treatment is politically contested, so the tool separates statistical disparity evidence from legal conclusions. In the EU, the AI Act classifies creditworthiness and credit-score AI systems as high-risk, subject to stronger expectations around risk management, data governance, documentation, transparency, bias testing and human oversight.

Why this is a RegTech problem

A memo can describe the two regimes, but it cannot continuously apply different thresholds, explanations and governance actions to live model outputs. A jurisdiction-aware tool can store regulatory parameters, apply them to the same model output, and show why the US and EU modes produce different compliance consequences.

Task 1 - CFPB 2026 Policy Shift

What changed from the Biden-era posture

Under the earlier CFPB posture, the practical RegTech emphasis was that AI or complex credit models still had to produce specific, accurate adverse-action explanations, and fair-lending monitoring often treated disparate-impact evidence as legally salient. The 2026 Regulation B final rule changes the federal ECOA posture by removing effects-test language and stating that ECOA does not authorize disparate-impact liability under Regulation B. It also narrows discouragement toward intentional oral or written statements and adds tighter conditions for for-profit special purpose credit programs.

Why this matters for the tool

A weak tool would simply delete disparate-impact monitoring after the rule change. A stronger RegTech design treats the change as a governance-versioning problem. The tool should keep approval parity, FPR and FNR as internal risk evidence, but label them differently: not as automatic legal violations under US federal ECOA, but as model-risk, consumer-harm, reputational, state-law, EU and litigation-risk signals.

Concrete design response

US mode therefore separates three layers: first, individual adverse-action reasons remain necessary for rejected applicants; second, group disparity metrics remain useful for internal governance and management review; third, the legal conclusion is deliberately withheld and routed to Legal / Compliance. The rule file stores effective dates and version notes so outputs generated before and after the 2026 change are not collapsed into one interpretation.

Task 1 - Jurisdiction Comparison Matrix

The same credit model output creates different governance duties depending on the active jurisdiction.

Question	United States	European Union	Tool design consequence
Primary concern	ECOA / Regulation B; adverse-action reasons	AI Act high-risk AI; data, oversight, bias controls	Separate consumer reasons from governance evidence
Disparity signal	Internal risk evidence after 2026 Regulation B policy shift	Bias governance trigger for high-risk AI documentation	Store statistical disparity, but avoid calling it a legal violation
Threshold stance	0.80 internal warning level	0.90 conservative governance level	Expose thresholds and rule versions rather than hiding them in code
Human role	Review reason quality and fair-lending risk	Document oversight, testing and remediation owner	Escalate to accountable owners instead of auto-remediation

Visual takeaway: the tool is jurisdiction-aware because it changes the governance response, not because it merely labels a row as US or EU.

Task 1 - Political Choice

RegTech tools as political artefacts

The US/EU threshold difference is not only a technical parameter. It reflects a political choice about where to place the burden of uncertainty. US mode uses a lower internal review threshold and emphasizes adverse-action explanations because the US framework is more focused on individual credit decisions, lender process and the changing legal boundaries of disparate impact. EU mode uses a stricter internal 0.90 escalation threshold because Meridian chooses a lower tolerance for unexplained bias in high-risk AI governance; this is not presented as an AI Act statutory number.

Design consequence of the US policy shift

The 2026 CFPB Regulation B final rule changes the operating posture of a RegTech tool. A high-quality product should not simply delete disparate-impact monitoring when enforcement philosophy shifts. It should retain the metric as internal governance evidence, version the legal interpretation, avoid saying legal violation, and route borderline cases to adverse-action reason review and management sign-off.

Why 0.80 vs 0.90

The 0.80 US threshold is used as an internal disparate-impact style warning level, not as a legal conclusion. The EU 0.90 threshold is not a statutory threshold. It is Meridian's internal conservative escalation threshold for high-risk AI governance, chosen to reflect lower tolerance for unexplained bias. Legal obligations are mapped separately through Article 10 data governance, Article 14 human oversight and Article 17 quality-management controls.

Task 1 - References

Public sources used

- Citi 2025 Annual Report: <https://www.citigroup.com/global/investors/annual-reports-and-proxy-statements/2026/annual-report>. Citi describes its mission as responsibly providing financial services that enable growth and economic progress. The URL path includes 2026 because it is the web version for Citi's 2025 Annual Report published in the 2026 reporting cycle.
- Citi EMEA locations: <https://careers.citigroup.com/locations/emea.html>. Citi lists European locations including Warsaw, Budapest, Dublin, London and additional European countries, supporting the choice of Citi as a cross-border US/EU case.
- CFPB 2026 Regulation B final rule: <https://www.consumerfinance.gov/rules-policy/final-rules/equal-credit-opportunity-act-regulation-b/>. The CFPB issued a 2026 final rule amending Regulation B provisions related to disparate impact, discouragement and special purpose credit programs.
- Federal Register 2026 Regulation B final rule:
<https://www.federalregister.gov/documents/2026/04/22/2026-07804/equal-credit-opportunity-act-regulation-b>. The Federal Register notice states that the final rule provides that ECOA does not authorize disparate-impact liability, further defines discouragement and adds SPCP conditions.

Task 1 - References Continued

Public sources used

- CFPB guidance on AI credit denials: <https://www.consumerfinance.gov/about-us/newsroom/cfpb-issues-guidance-on-credit-denials-by-lenders-using-artificial-intelligence/>. The CFPB states that creditors using AI or complex models must give consumers specific and accurate adverse-action reasons.
- CFPB circular on black-box credit models: <https://www.consumerfinance.gov/about-us/newsroom/cfpb-acts-to-protect-the-public-from-black-box-credit-models-using-complex-algorithms/>. The CFPB says complex algorithms do not remove ECOA adverse-action notice duties.
- EU AI Act, Regulation (EU) 2024/1689: <https://eur-lex.europa.eu/eli/reg/2024/1689/oj>. Annex III classifies AI systems used to evaluate creditworthiness or establish credit scores as high-risk, with exceptions such as fraud detection.

Task 1 - References Continued

Public sources used

- EU AI Act Service Desk, Article 10: <https://ai-act-service-desk.ec.europa.eu/en/ai-act/article-10>. Article 10 maps high-risk AI to training, validation and testing data governance, including data quality, representativeness, bias examination and mitigation.
- EU AI Act Service Desk, Article 14: <https://ai-act-service-desk.ec.europa.eu/en/ai-act/article-14>. Article 14 explains human oversight expectations for high-risk AI systems.
- EU AI Act Service Desk, Article 17: <https://ai-act-service-desk.ec.europa.eu/en/ai-act/article-17>. Article 17 requires a documented quality management system for high-risk AI, including regulatory compliance strategy, validation, data management, risk management and post-market monitoring.
- Grand View Research RegTech market summary:
<https://www.grandviewresearch.com/industry-analysis/regulatory-technology-market>. Grand View Research estimated the global RegTech market at USD 24.34 billion in 2025 and projected USD 112.10 billion by 2033, with large enterprises and risk/compliance management as major segments.